

2c. Content of Component 1: Microeconomics (H460/01)

Component 1 focuses on microeconomics. From a base of microeconomic theory, this component enables students to discuss and evaluate how well microeconomic theories explain the behaviour of economic agents in the real world. They will develop an understanding of markets, market structures and business objectives. Students will learn how to

use and interpret quantitative evidence to justify economic decisions as well as to critically reflect on the limitations of data. They are encouraged to consider the moral, ethical and sustainability issues that arise as a result of economic activity in a range of national and global contexts.

Please note: For the use and meaning of command words in our assessments, please see Section 3c.

1. Introduction to Microeconomics

Topic	Students should be able to:
1.1 The economic problem	Explain: • Economic goods and free goods • The economic problem: scarcity, choice, needs, and wants • Normative and positive statements • The role of economic agents: government, firms, and households • The factors of production: land, labour, capital, and enterprise • The rewards of the factors of production: rent, wages, interest and profit Evaluate: • The problem of scarcity and the requirement to make choices • Rationality as a way of understanding the behaviour of economic agents • The different objectives of the economic agents in an economy